Evaluating a New, No-Earnings Battery Company

How to do the "further analysis" when there's no EBITDA to value

You spotted the right problem: a brand-new development company has no profit, no track record, and no operating history — so the LBO model and EV/EBITDA simply don't apply. This guide shows what you use instead, grounded in the same valuation theory you already learned (Module 5) plus standard renewable-development practice.

Educational resource, not investment advice. I'm not a licensed financial adviser. Verify all figures and assumptions before relying on them.

Why your instinct is exactly right

You correctly noticed that the tools from Modules 2–4 don't fit here. Let me confirm precisely why, because understanding the "why" tells you what to use instead.

Tool you learned	Needs...	Does it fit a new development company?
EV/EBITDA (Module 2)	A stable, positive EBITDA (profit)	❌ No — there's no profit yet
LBO model (Module 3)	Predictable cash flow to service debt	❌ No — no cash flow to lever
IRR / MOIC (Module 4)	Just a pattern of cash in and cash out	✅ **Yes — these still work**
VC / scenario methods (Module 5)	A future exit value to work back from	✅ **Yes — this is the right family**

So two things survive: the **return metrics** (IRR/MOIC) and the **forward-looking, exit-based methods** (Module 5). That's the heart of it — **you value this company the way you value a startup or a project pipeline, not the way you value a mature buyout.**

> **The one-sentence summary:** because there's no profit to value, you stop valuing *earnings* and start valuing the **risk-adjusted future sale value of the projects** — money the company will make *when it sells the de-risked projects*, scaled down for the chance each project doesn't make it.

What you're actually valuing: the "development margin"

A develop-and-flip company makes money from one thing: **turning a low-value raw project into a high-value de-risked one, then selling it.** The gap is the prize.

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Raw site (cheap)
     |
     ▼  ← the company adds value here:
     |     planning approval + grid connection (+ maybe build / contract)
     ▼
De-risked, build-ready (or built) project (valuable)
     |
     ▼
SELL to an infrastructure fund  →  the "development margin" is the profit
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A real-world confirmation of how the value climbs as risk falls: industry valuers price development projects on a **per-MW basis that rises as the project hits milestones** (securing permits, grid connection, a revenue contract). An early-stage project is worth little per MW; a "ready-to-build" project is worth far more; a built, contracted project more still. Your company's entire job is to climb that ladder — and your valuation must measure how far up it can realistically get, and how likely each rung is.

The five valuation methods that DO work here

In practice you use several and **triangulate** (cross-check one against another). No single method is trusted alone for a development-stage business.

Method 1 — Risk-adjusted NAV of the project pipeline (the core method)

This is the main event. **NAV = Net Asset Value** — here it means "add up what all the projects are worth, risk-adjusted, minus costs." It's also called **sum-of-the-parts**.

The logic, project by project:

1. Estimate what each project will **sell for** when de-risked (use comps — what similar projects actually sold for, on a $/MW basis).
2. Subtract the **cost to get it there** (development spend + construction if applicable).
3. That gives the **gross margin** per project.
4. Multiply by the **probability it actually succeeds** (gets approved, connected, sold). This is the crucial step.
5. **Discount** back to today's money (because the sale is 2–3 years away).
6. **Sum** all projects, then subtract company-level **overhead** (salaries, head office).

> **risk-adjusted NPV (rNPV)** — the technical name for step 4–5. You multiply each future cash flow by its probability of happening, *then* discount it. This is the standard method

> for **any business made of risky, stage-gated projects** — it's how biotech firms (drugs that may fail trials) and renewable developers (projects that may fail approval) are both valued. The risk lives in the *probabilities*, separate from the discount rate.

Worked mini-example (one project):

Step	Value
Expected sale price (10MW × ~$X/MW from comps)	$10.0m
Less: development + build cost	-$7.0m
= Gross development margin	$3.0m
× Probability of success (say 60%)	× 0.60
= Risk-adjusted margin	$1.8m
÷ Discount for 2-year wait (at, say, 15%)	÷ 1.32
= **Today's value of this project**	**~$1.36m**

Do this for every project, sum them, subtract overhead → the pipeline's risk-adjusted NAV. **That's your anchor valuation.**

Method 2 — The $/MW (per-megawatt) benchmark

The quick sense-check. Early-stage development projects are routinely valued on a **dollars-per-MW basis** because there's no financial data to use yet. You take a $/MW figure from recent comparable deals (adjusted for development stage) and multiply by the pipeline's total MW.

> Confirmed industry practice: *"For early-stage development projects, EV/MW multiples are useful benchmarks when financial data is scarce"* — and the per-MW figure **rises as the project advances** through permits, grid connection, and contracts. So a key question becomes: *at what stage will this company sell, and what's the $/MW at that stage?*

Use this to cross-check Method 1. If your detailed NAV and your simple $/MW benchmark roughly agree, confidence rises.

Method 3 — Scenario / probability-weighted value (First Chicago — Module 5)

You already learned this. Because a development company's outcome is so binary (the pipeline works, or it stalls), model **three scenarios** and weight them:

Scenario	What happens	Value	Probability	Contribution
Upside	Most projects approved, sold at good prices	$X	25%	...
Base	Some succeed, some slip	$Y	50%	...
Downside	Approvals/connections stall, few sell	$Z (could be near zero)	25%	...
Weighted value			100%	**Sum**

This forces you to be honest about the downside — which, for a no-asset development company, can be severe.

Method 4 — The VC method (Module 5)

Also one you know. Work **backwards from the exit**:

1. Estimate the company's total value at exit (e.g. pipeline sold for $X in 3 years).
2. Apply your **target return** (for this risk, you'd want a high one — think 25%+ IRR or a 2.5–3×+ MOIC).
3. Discount back to today → the most you should pay now.
4. Your investment ÷ today's value → the **ownership stake** you need.

This is how you'd actually price your equity stake and negotiate pre-money vs post-money valuation.

Method 5 — Comparable transactions (comps)

The reality check that feeds all the others. From your data-collection work, build a table of recent sales of similar de-risked battery projects — size, stage, contract status, and price. These comps give you the **$/MW inputs** for Methods 1 and 2 and the **exit value** for Methods 3 and 4. Everything ultimately traces back to "what did real buyers actually pay?"

How the methods fit together

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Comps (Method 5)  →  feed $/MW and exit values into everything
        |
        ├───► Risk-adjusted NAV (Method 1)  ←— your anchor
        ├───► $/MW benchmark (Method 2)     ←— quick sense-check on Method 1
        ├───► Scenario weighting (Method 3) ←— honest downside
        └───► VC method (Method 4)          ←— prices your equity stake
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Triangulate all four  →  a defensible valuation range (not a single number)
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> **Key mindset:** for a development-stage company you produce a **range**, not a precise figure. Anyone who gives a single confident number for a no-earnings company is overstating their certainty.

A critical point about leverage (ties back to what you learned)

Recall Module 0's core lesson: **no stable cash flow → can't safely service debt.** A development-stage company has *no* operating cash flow, so it **can't carry a normal LBO's debt load.** This deal is almost entirely an **equity** play — exactly like venture capital, and exactly the VC-vs-buyout distinction you correctly raised earlier.

What this means practically:

- Don't model heavy acquisition debt — there's nothing to service it.
- Returns come from the **capital gain on sale**, not from debt paydown.
- The risk is therefore **equity-like** (higher risk, higher required return), which is why Method 4 uses a high target return.

The full "further analysis" sequence (after the industry analysis)

Here's how the whole deal evaluation flows, mirroring the lifecycle from your guide but adapted for a new development company:

Step	What you do	Method / module
1. Read the materials	Information memorandum, pipeline schedule	—
2. Confirm the industry verdict	(Already done — Module 0 + the plan)	Module 0
3. **Diligence the pipeline**	Verify each project's stage, approvals, connection, sites	Data-collection guide
4. **Build the development model**	Per project: cost in → sale value out → timing	Method 1
5. **Risk-adjust**	Apply success probabilities at each gate	Method 1 (rNPV)
6. **Value four ways**	NAV, $/MW, scenarios, VC method	Methods 1–4
7. **Triangulate to a range**	Cross-check; build comps table	Method 5
8. **Returns analysis**	IRR and MOIC on your equity	Module 4
9. **Structure the deal**	How to protect the downside (see below)	—
10. **Write the IC memo**	The recommendation	Module 9

Step 9 deserves special attention: structuring for a no-asset deal

Because you're investing in a company with **no hard assets yet** (just plans, sites, and a team), how you *structure* the investment matters as much as the price. This is where your credit-and-security instincts are gold. Things a careful investor looks for:

- **Milestone-based funding —** release money in tranches as the company hits approval/connection milestones, rather than all upfront. (Confirmed market practice: development valuations are often *"spread across upfront payments and milestone payments."*)
- **Liquidation preference —** the right to get your money back first if things go wrong.
- **Board / control rights —** a say in major decisions, given the execution risk.
- **What happens if projects fail —** what do you actually own? (Often just the sites and approvals — value those as your downside floor.)
- **Alignment —** is management's pay tied to successful sales, so their incentives match yours?

> **Why this is your edge:** structuring downside protection, milestone triggers, and security is *exactly* what you do in credit. A pure equity investor might focus only on the

> upside; your instinct to ask "what protects me if this goes wrong, and what do I actually hold as security?" is precisely what this kind of high-risk, no-asset deal needs.

The honest health-warning for this kind of deal

Two things to keep front of mind, because they're easy to lose in the excitement of a growth sector:

1. **The downside can be near-total.** If a development company can't get its projects approved or connected, and runs out of money, the equity can be worth very little. Unlike a mature buyout (which owns a real, cash-generating business), here you're backing a *plan*. Method 3's downside scenario must be taken seriously.
2. **The valuation is genuinely uncertain.** You're estimating future sale prices, success probabilities, and timing — all of which can move a lot. Hence the *range*, the triangulation, and the milestone-based structure. Precision here is false comfort.

A current market signal worth remembering from your earlier research: buyers increasingly pay for **de-risked, contracted, build-ready** assets and are wary of **speculative early-stage pipelines.** So a company *selling* early-stage projects faces a tougher, choosier market than one selling build-ready, contracted ones — which directly affects both the success probability and the sale price in your model.

Check yourself

1. Why can't you use EV/EBITDA or an LBO model for this company? *(Answer: it has no EBITDA/profit and no cash flow to service debt.)*
2. What are you valuing instead of earnings? *(Answer: the risk-adjusted future sale value of the projects — the development margin, scaled by probability of success.)*
3. What does the "risk-adjustment" step actually do? *(Answer: multiplies each project's margin by its probability of success, so failures are weighted in.)*
4. Why is this mostly an equity (not debt) deal? *(Answer: no operating cash flow means no capacity to safely service debt — like VC.)*
5. Why produce a valuation range rather than a single number? *(Answer: the inputs — future prices, probabilities, timing — are genuinely uncertain; a single figure overstates certainty.)*
6. Why does deal *structure* matter so much here? *(Answer: there are no hard assets yet, so milestone funding, liquidation preference, and downside protection do the work that asset security can't.)*

Quick reference: matching the method to the company stage

If the company is...	Value it mainly with...
Pure early-stage pipeline (sites + plans only)	$/MW benchmark + scenario weighting + heavy risk-adjustment
Projects approved, heading to build	Risk-adjusted NAV (rNPV) + comps
Building / built, with a revenue contract	DCF of the contracted cash flows + EV/MW + comps (closer to a normal asset)
Mature, operating, earning	*Now* EV/EBITDA and even an LBO become possible (the buyout world)

Your opportunity sits in the **top two rows —** so risk-adjusted NAV, $/MW, scenarios, and the VC method are your toolkit, with the LBO firmly parked until the business has real earnings.

Methods here (risk-adjusted NPV / sum-of-the-parts pipeline valuation, $/MW capacity multiples, scenario/First-Chicago weighting, the VC method, comparable transactions) reflect standard valuation theory and current renewable-development practice as of mid-2026. This is an educational resource for conducting your own analysis, not investment advice; I am not a licensed financial adviser. All figures are illustrative and must be independently verified.